

Who gets **WHAT**



SUNIL BHARTI MITTAL

BHARTI AIRTEL

Circles Won 13 (including Delhi and Mumbai)

Circles Lost Key ones like Maharashtra, Gujarat, Punjab and Kerala, among others.

To Pay **Rs 12,295.46 crore**

The 13 circles contribute 69 per cent of Bharti's gross revenues.



ANIL AMBANI

RELIANCE COMMUNICATIONS

Circles Won 13 (including Delhi and Mumbai)

Circles Lost Key ones like Andhra Pradesh, Karnataka, Gujarat, Maharashtra, Haryana and UP East and UP West, among others.

To Pay **Rs 8,585 crore**

The 13 circles contribute 55 per cent of the company's gross revenues.



KUMAR MANGALAM BIRLA

IDEA CELLULAR

Circles Won 11 (including Andhra Pradesh, Haryana, Kerala, Punjab and Maharashtra)

Circles Lost Key ones like Delhi, Mumbai, Kolkata, Tamil Nadu and Chennai, among others.

To Pay **Rs 5,768.59 crore**

The 11 circles contribute 79 per cent of Idea's revenue base.

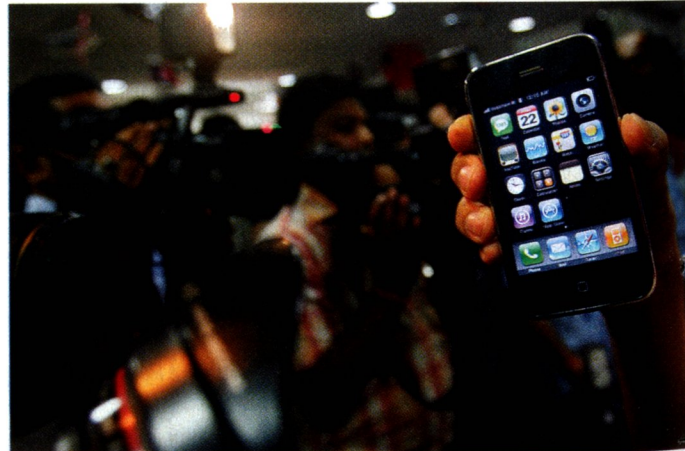
circles were based on the valuation of licences for circles and valuation was based on two things: the business potential of a circle for a company, and the value of losing customers if an operator does not get a particular licence. This is heightened by the scarcity of spectrum."

Most players like Vodafone, Idea and Bharti have chosen to bid for circles where they are already strong. So it was a defensive strategy to protect their subscriber base rather than create new markets. The circles that Bharti won contribute the highest (61 per cent) cumulatively to the country's gross wireless revenues. On the other hand, Aircel and Idea appear to have clearly focused on their "strong" circles with Aircel's "win" circles contributing 91 per cent to its own revenue base, while Idea's "win" circles contribute 79 per cent to its revenues. This is in line with the theory that bid prices have been driven higher with operators trying to protect their revenue base in their strong circles.

The defensive strategy may have helped the players protect their turf, but will they reap good returns? Back of the envelope calculations show that if a company has to make money out of 3G, then it may have to move 30 per cent of its high revenue generating consumers to 3G. By doing so, it could

**WITH 3G,
YOUR CELL
PHONE WILL
BRING THE
WORLD TO
YOUR PALM**

REUTERS



increase revenues from data over a four-year period. However, Tyagi maintains that the growth of revenues from data will be very slow initially as telcos will not be able to price the services very high. Currently, only 8-10 per cent of a good telecom company's revenues come from data—Internet and text services. Telecom players expect data revenue to go up to 12 per cent at best from the present 10 per cent, but this is not good enough to justify 3G costs. Nitin Soni, telecom analyst with Fitch Ratings, says, "With the exception of Bharti and public sector MTNL and BSNL, most of the

operators have high debt levels. All players are facing wireless margin pressure due to intense competition. A fragmented allocation of 3G licences across 22 circles suggests competitive intensity is unlikely to abate in the near term." This means that cheap mobile tariffs are here to stay for some more time both in 2G and 3G space.

Competitive pricing, however, is not good news for investors in telecom stocks because it will strain the balance sheets of most companies for at least another three years. The Indian wireless industry generates roughly \$25 billion in revenues and around \$6